

Taxes

Taxes are collected by various government agencies. For example, they are collected by the Internal Revenue Service (IRS) in the United States and by HM Revenue & Customs (HMRC) in the United Kingdom. In the U.S., the IRS allows small businesses to pay their taxes by using either cash or to do so on an accrual basis. When you first start your business, you are somewhat free to use either approach. (The IRS assumes larger businesses and businesses with inventory, in particular, should use the accrual basis).

However, once you file a tax return, you must use that approach from then on. You can get approval from the IRS to change methods but the IRS will figure out the tax impact of such a change before it allows you to change methods. You can end up with a large tax bill to change methods.

Taxation rules, rates, allowances, etc., will vary for different countries throughout the world. Not all countries will allow cash basis for taxes. An accounting system should provide sufficient detail for the taxing agency to determine the proper revenue recognition and expense handling to accurately determine tax liability.

Multiple Books

You can keep two sets of books, one for tax purposes and the other for financial reporting. It is a common feature in modern accounting systems, which allows you to run reports by using either basis. When reporting to the IRS, companies like to use any legal method to reduce the amount of taxes it owes. However, when reporting to investors, owners, senior management, etc., the accounting system typically wants to show how well the company is performing.

While multiple books are allowed in the U.S., this may not be the case in all countries. The U.S. uses Generally Accepted Accounting Principles (GAAP) to determine accounting rules while most countries (over 100 of them at the time of this writing) use the International Financial Reporting Standards (IFRS) to handle accounting principles.

Summary

The accrual system is common for most mid to large-sized businesses and provides the most accurate matching of revenues and expenses. If you look at the chart of accounts and don't find Accounts Receivable and Accounts Payable accounts, the business most likely is using the cash basis.